
ISSUE #16 · THIS WEEK

The **analyst's lens**

How I read a market on the evidence, before I ever name a suburb.

THIS WEEK'S EDITION



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Issue #16: The Analyst's Lens

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How I read a residential market on the evidence, before I ever name a suburb.

In one breath

This is the method I use to read a property market. Five lenses on the data, then I sort each market by what it is built to do, then I score it twice (once for how it has performed, once for the risk underneath that performance), then I rank it. The single most useful thing it surfaces is a trade-off most people never price in: the markets that pay the most rent tend to sit in the weakest economies.

It is a screening method. It tells me which markets are worth a closer look. It does not tell me which property to buy, what to pay, or what will happen next. I am writing it down in full because everything that follows in this newsletter is built on it. Over the coming editions I am starting a series called **Suburb Notes**, where I take one real market at a time and run it through exactly this process, in the open. This edition is the manual. The instalments are the applications.



THE FIVE LENSES

What this method is, and what it is not

Before the detail, the boundary. This is a **market read**. It is the first filter, the part that narrows a whole state down to a manageable short list of markets worth real work. It is deliberately *not* the property decision (the specific asset, its land content, its condition), *not* the price decision (a great market bought badly is still a bad deal), and *not* a forecast (every figure here describes what has already happened, from public data).

To place it precisely, the whole way I read property runs in three tiers, and this method is the middle one.

- **Tier 1 — Macro.** Which regions are even worth scanning in the first place, driven by population flows, the supply pipeline, and where the broader cycle sits. A separate question, and a separate edition.
- **Tier 2 — The market read.** Taking those regions and narrowing them to the specific markets worth real work. It has two halves: the *past-and-present read* (how a market has performed and where it stands today, which is everything below) and the *leading indicators of where a market is heading* (a future edition).
- **Tier 3 — The property.** The specific asset, its land content and condition, and above all the price you pay. A great market bought badly is still a bad deal. This is where a market finally becomes a deal.

Everything in this edition lives in Tier 2, and specifically its past-and-present half. Hold that boundary in mind. A method that pretends to do everything ends up trusted for things it cannot do.

Stage 1: The five lenses

You cannot judge a market on one measurement, any more than you can judge a person's health on their height. I look through five lenses, and only after all five do I form a view.

- **Past price growth.** How the market has appreciated over the long run. A track record, not a forecast.
- **Rental income.** What it rents for now, relative to its price. A present-day fact, not a promise.
- **Supply.** How much stock is for sale, how long it sits, how much is empty.
- **Demand.** How many buyers are competing, and how fast stock clears.
- **Socio-economic strength.** The financial backbone of the people who actually live there.

Each lens covers a blind spot in the others. Growth describes the past. Supply and demand describe the pressure right now. The socio-economic lens describes who is underneath the price, and whether they can hold it through a rough patch. One lens lies. Five together rarely do.



SCORE IT TWICE

test.

When I tested a single universal rent filter against the full set, it cut nearly every growth and balanced market on the board, including the ones with the best long-run track records. The filter was not wrong about income. It was wrong to apply an income test to markets that were never about income.

So the criteria flex by purpose:

- An **income** market has to clear a genuine rent threshold and a tight vacancy test. That is its reason to exist.
- A **growth** market is not asked to clear a rent threshold at all. It is asked to prove sustained appreciation and real demand pressure.
- A **balanced** market has to do a respectable amount of both.

Same rigour. Different tests. The criteria serve the purpose, not the other way around.

Applied to the six markets above, all six clear their own bar: the income markets on rent and vacancy, the growth and balanced markets on appreciation and demand. So all six earn a score. But picture a seventh market renting at 3%. Tested as a growth candidate it sails through. Tested as an income one it fails outright. Same market, opposite verdict, depending on the job you hold it to. That is why the standard has to follow the purpose.

The takeaway: a single universal filter is not discipline. It is a category error wearing a suit.

Stage 4: Score it twice

Now the part that changes everything. I do not give a market one score. I give it two, and I keep them apart on purpose.

The first score is **past performance**: how the market has actually behaved, built from its long-run price growth and its current rental income. Both are historical, both come from public data, neither is a prediction. A track record, nothing more.

The second score is **risk**, and this is the one most people skip entirely. It asks how much could go wrong, and how fast:

- How quickly does a home there actually sell? Slow sales mean you are trapped if you ever need out.
- How tight is the rental market? A thin one empties fast when conditions turn.
- How strong is the local economy, and which way is it heading? A market leaning on a single industry is one closure away from trouble.

That last point carries a refinement worth calling out, because it answers an obvious objection. Using socio-economic strength as a risk measure could just punish cheaper areas for being cheap. So I do not only look at where a market sits today. I look at where it has moved over the past decade. A market climbing the socio-economic ladder is a different prospect to one sliding



PROPERTY NOTES

A new series starts here, Suburb Notes, one real market at a time.

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Read the full **method** this week.

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